

THE DAILY FINANCE BRIEF

Financial News in Plain English

Saturday, September 26, 2026

Edition No. 78

Personalised for Rishabh Srinivasan

ECONOMY

Federal Reserve Raises Interest Rates to Combat Inflation

The Federal Reserve (the U.S. central bank that controls interest rates) has increased its benchmark interest rate to 3.9% to address ongoing inflation (the general rise in prices of goods and services over time). This change affects borrowing costs for loans, including mortgages and

credit cards, making it more expensive for everyday people to borrow money.

The average 30-year mortgage rate has now reached 6.95%, the highest in over 18 months. This means that buying a home is becoming less affordable for many families, while the cost of living continues to rise faster than wages.

Source: AP News

MARKETS

Wall Street Sees Gains with Tech Stocks Leading the Charge

On September 25, 2026, Wall Street (the financial district in New York City known for stock trading) experienced a rise in stock prices, primarily driven by gains in technology companies like Microsoft. The S&P 500 (an index that tracks the stock prices of 500 large U.S. companies) increased by 0.51%, indicating a positive trend in the market.

This rally in tech stocks suggests that advancements in technology, particularly artificial intelligence, are boosting investor confidence, which could lead to more job opportunities and economic growth.

Source: Business Today

Bitcoin Remains Stable Amid Changing Regulations

Bitcoin, a type of digital currency, is currently trading at \$83,994, showing a slight decline of 0.8% over the past day. This stability comes as regulatory changes (new rules set by governments) are shaping the cryptocurrency market.

While Bitcoin's price remains high, it is essential for potential investors to understand the risks involved in investing in cryptocurrencies, as they can be highly volatile.

Source: Pickaxe

ECONOMY

Rising Treasury Yields Signal Higher Borrowing Costs

The yield (the return investors earn from lending money) on 10-year U.S. Treasury bonds has increased to 4.93%. This rise affects borrowing costs for loans, including mortgages and car loans, making it more expensive for individuals to finance big purchases.

As a result, the average 30-year fixed mortgage rate is now 6.95%, and auto loans are also seeing higher rates. This trend could make it harder for families to afford homes and cars.

Source: Kiplinger

Warren Buffett Passes Leadership of His Financial Empire to Son

Warren Buffett, a legendary investor known for his successful investment strategies, has announced that he is stepping down as chairman of Berkshire Hathaway, a large conglomerate with a market value of \$1 trillion. His son, Howard Buffett, will take over the role.

This transition is significant as it highlights the importance of leadership in large companies and how it can affect investors and employees.

Source: *Le Monde*

Akamai Technologies Sees Stock Surge After Major Deal

Akamai Technologies, a company that provides cloud services, saw its stock price rise by 6% following an announcement of an \$11.6 billion deal with AI company Anthropic. This deal highlights the growing importance of cloud services in the technology sector.

For everyday people, this could mean more innovation and improved services in the tech industry, potentially leading to better products and services.

Source: *MarketScreener*

FEATURE

EXPLAINER OF THE DAY

Understanding Recursive Self-Improvement in AI

Recursive Self-Improvement (RSI) is a concept in artificial intelligence (AI) where AI systems could potentially improve themselves without human help. This idea is gaining attention as AI technology advances.

While RSI is not yet a reality, it raises important questions about the future of AI and its impact on society, including potential risks and benefits for everyday people.

Source: *Axios*